

TAM · SAM · SOM

Blank & Dorf

DEFINITION

Market size is three nested circles, from total demand down to what you can win.

KEY POINTS

- TAM: total addressable market — all demand for the category
- SAM: serviceable available market — the segment you can reach
- SOM: serviceable obtainable market — what you can realistically capture
- Use to size a market credibly and avoid top-down hand-waving

REFERENCE

Blank, S. and Dorf, B. (2012) *The Startup Owner's Manual*. Pescadero: K&S Ranch.